



as against capital gains, they are in no hurry to invest. They strongly believe that opportunities are always there but that when the biggest of them come, one must have the money to invest. They are therefore, very careful about allocating resources. They never buy on impulse. They can be out of the market for months, even years. They have the patience to wait till the right moment. Brokers usually do not like such investors as they do not churn their portfolios regularly. Intellectual investors are also emotionally strong. That is the reason they are able to exercise such restraint.

We all want to be such investors but we cannot, as we believe that we are not all as intellectually blessed as they are. This is a wrong notion. The reason they are intellectually capable is because they work hard and make the effort to reach that stage. They constantly explore opportunities by talking with managements, examining different viewpoints on business, trying to understand economic policies and its effect on business environment, etc. Their intellectual capability is derived from their hard work and their strong belief in the long-term approach to investments. Moreover, they use common sense in their judgements and are not swayed by rumours.



The Physically Difficult Path

Most people are deeply involved in the physically difficult way of beating the markets. They come early to the office and stay late. They do not know what their children are doing as they don't have time for them. They choose work over the family. They carry with them all the newspapers to read whenever time permits. They are always busy with breakfast meetings, more luncheon meetings and even more dinner meetings. Their talk revolves round finding the next best investment opportunity to make money. They visit companies and plants and talk with the management. They keep in touch with a number of brokers as they believe it will increase their efficiency in the stock markets. They are overloaded with information. They are constantly on the telephone making calls and receiving more calls though most of the time the answering machine takes the calls. They